WWF FY2024 Sustainable Finance & Impact Efficiency



DAVID FX WINATA

MARCH 6, 2025



Agenda

Project Overview & Methodology

Financial Position (Balance Sheet Highlights)

Operational Performance (Activities)

Key Performance Indicators (KPIs)

Key Takeaways & Conclusion






Project Overview & Methodology

Methodology:

Horizontal Analysis: Year-over-Year (YoY) variance analysis.

Financial Ratio Analysis: Liquidity, Leverage, and Efficiency metrics.

Data Visualization: Development of a financial dashboard to highlight key trends.

Data Source: Consolidated Financial Statements of WWF, Inc. and Subsidiaries (FY2024 & FY2023)

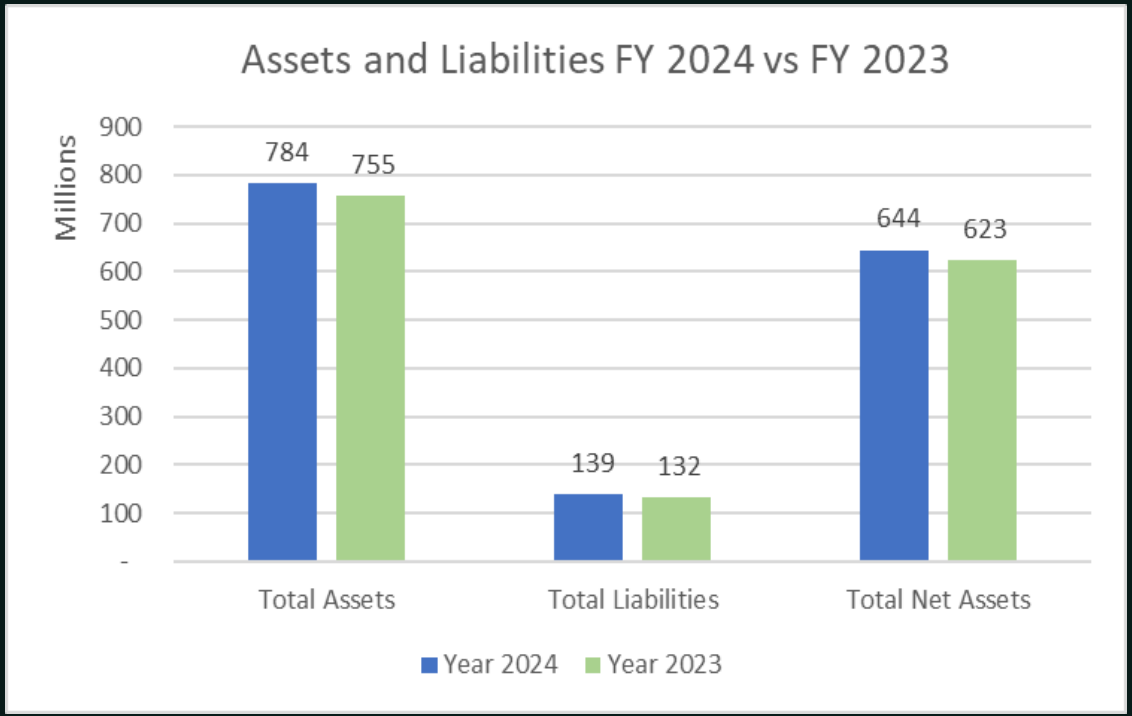


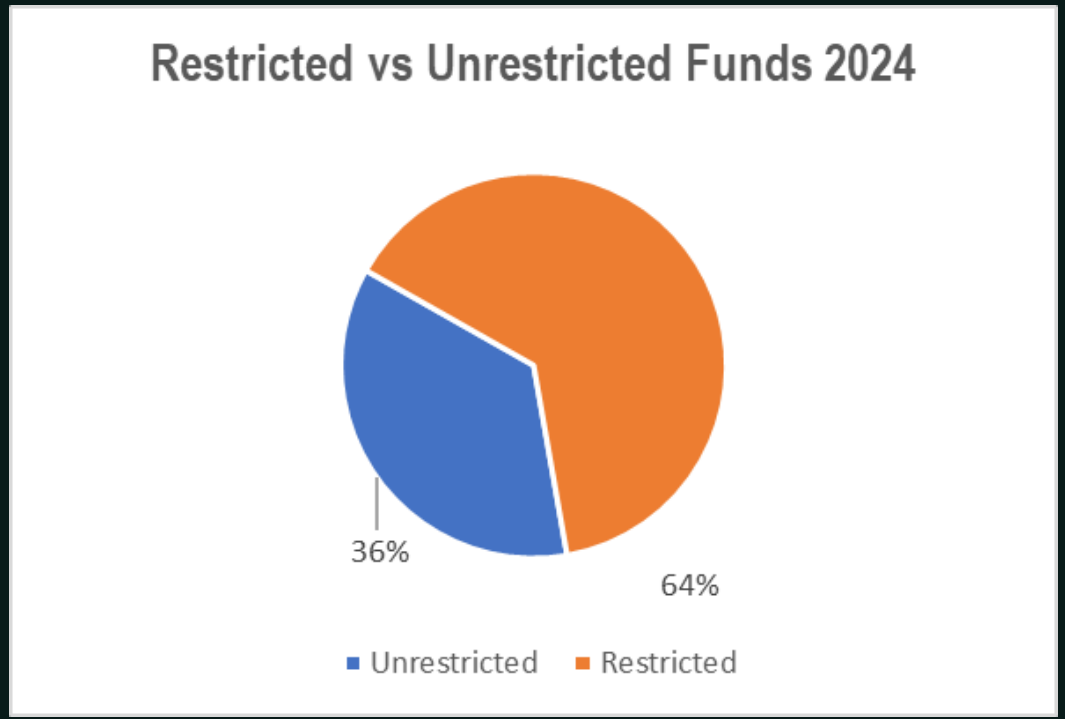




Financial Position

(Balance Sheet Highlights)





Total Assets: $783.9M (+3.8% YoY)

Growth driven by significant increases in Prepaid Assets (+233.3%) and Short-term Investments (+42.6%).

Total Liabilities: $139.5M (+5.4% YoY)

Remains exceptionally low compared to assets, indicating a highly conservative and stable capital structure.

Net Assets: $644.4M

Unrestricted Net Assets grew by a healthy 10.1%.

Fund Structure:

With 64% of funds restricted, flexibility for administrative costs remains tight, requiring careful liquidity management.

Balance Sheet Key Takeaway



Strong Liquidity (Current Ratio: 3.92)

Demonstrates a robust ability to meet short-term obligations.



Minimal Leverage Risk Highly robust balance sheet with a conservative capital structure and virtually zero leverage risk.

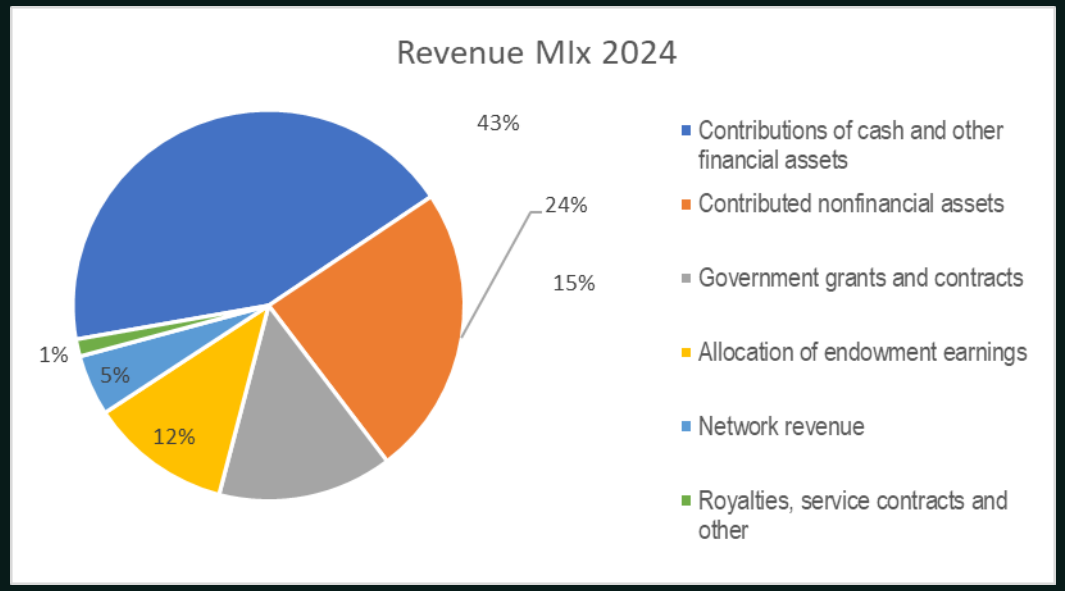


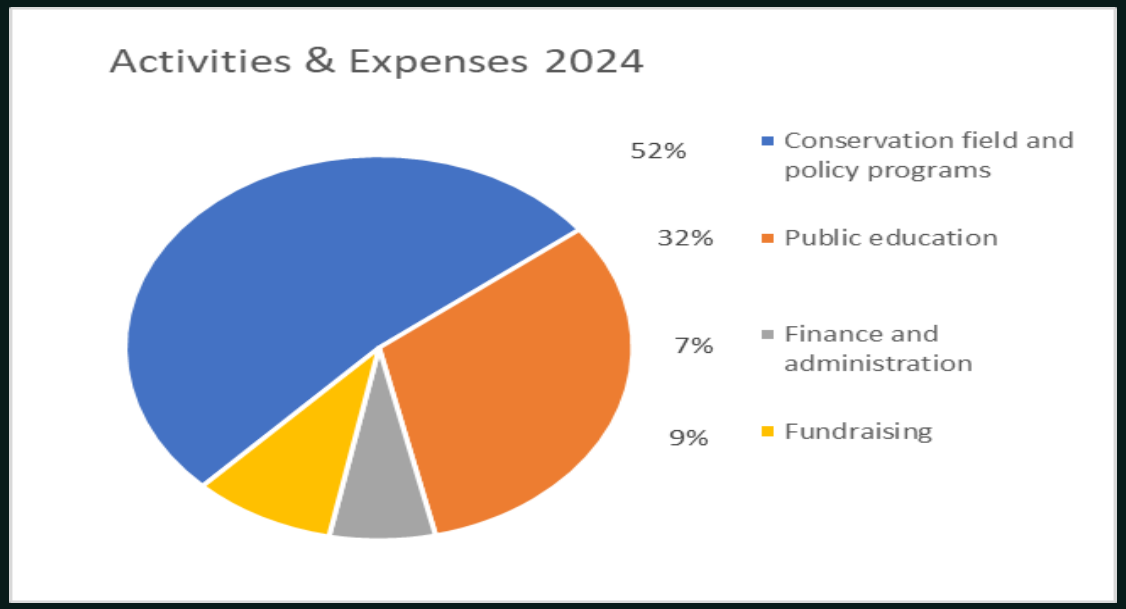
However, with a majority of funds restricted (64%), financial management must focus heavily on optimizing cash flow for operational overhead.



Operational Performance

(Activities)





Revenue 2024:

- **43% from Contributions of Cash**
- **24% from Nonfinancial Assets**
- 15% from Government Grants
- 12% from Endowment Earnings

Activities 2024:

- **52% for Conservation & Policy programs**
- **32% for Public Education**
- **9% for Fundraising expenses**
- **7% for Administration**

Key Insight: The organization demonstrates exceptional program efficiency, allocating **84% of total expenses directly to program services** (Conservation and Education), while maintaining a lean overhead for Administration (7%) and Fundraising (9%)



Key Performance Indicators

KPIs

KPI

Financial Health

Current Ratio = **3.92**

Debt Ratio = **17.8%**

Operational Efficiency

Program Efficiency = **84.2 %**

Fundraising Ratio = **9.1%**

Fund Structure

Restricted Net Assets = **64%**

💡 **Key Insight:** The organization exhibits an exceptionally strong financial profile with near-zero leverage risk. While operational efficiency is highly optimal, management must maintain strict cash flow monitoring due to high reliance on restricted funding.

Key Takeaways & Conclusion

1. **Financial Stability**
   With a Current Ratio of 3.92 and a Debt Ratio of just 17.8%, the organization maintains an exceptionally strong, liquid balance sheet with virtually zero leverage risk.

2. **Operational Efficiency (High Mission-Driven Efficiency)**
   An impressive 84.2% of total expenses are allocated directly to Program Services (Conservation & Education), proving highly effective and efficient fund utilization.

3. **Fund Structure - Navigating Restricted Capital**
   While funding is abundant, 64% of Net Assets are restricted. This requires highly disciplined cash flow management to ensure adequate liquidity for administrative and operational overhead.

4. **Growth & Outlook - Positive Net Asset Trajectory**
   Unrestricted Net Assets grew by a healthy 10.1%. Moving forward, the focus should be on diversifying unrestricted revenue streams to balance the high reliance on restricted funding.

Summary

🎯 **Overall Conclusion:** WWF, Inc. demonstrates a highly robust financial profile and excellent operational efficiency. The organization is exceptionally well-positioned to sustain its mission. Strategic focus for FY2025 should be directed toward optimizing cash flow for restricted funds and exploring new unrestricted revenue streams.



